

Reducing Default Risk While Maintaining High Approval Rates

Application-time credit risk model with decision threshold

Application-time PD model (no future information)

Performance: ~0.30 Gini (expected for this setup)

Decision:

At $PD \leq 0.20$

- 81% approval
- 12.2% default (vs 14.8% baseline)

Trade-off between growth and risk controlled via PD threshold

Moderate model performance can still drive strong business outcomes when paired with effective decision thresholds.

